

Table 41.1 Identification Guidelines

Characteristic	Discussion
Appearance	After an upward price trend, the chart pattern appears as three bumps; the center one is the tallest, resembling a bust. Be wary of patterns with uneven shoulders or long necks.
Symmetry	The two shoulders should appear at about the same price. Distance from the shoulders to the head is approximately the same. There can be wide variation in the pattern's appearance, but symmetry is usually a good clue to the validity of the pattern.
Volume	Highest on the left shoulder, followed by the head. The right shoulder shows the lowest volume of the three peaks. Don't discard a pattern because of an unusual volume pattern.
Neckline	Connects the lows of the two troughs (armpits) between the three peaks. The line can slope up or down. Often used as a trigger (to buy or sell) once price closes below the line.
Breakout direction	Downward. For up-sloping necklines, use a close below the line. For down-sloping necklines, use a close below the right armpit as the breakout.
Confirmation	Price confirms the pattern after a downward breakout. If price breaks out upward, then you don't have a valid head-and-shoulders top.